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WITHOUT PREJUDICE SAVE AS TO COSTS – in part (see below)

By email

Whitfield Carter LLP

22 Bishopsgate

London EC2N 4BQ

Your ref: TG/SW/CALV-0140 Our ref: OJ/DK/FERN-22
6 November 2025

Dear Sirs

Calverton Industries Limited and Ferncliffe Alloys Limited

Your letter before action dated 17 October 2025

We act for Ferncliffe Alloys Limited ("Our Client"). We have your letter before action of 17 October 2025, which we and Our Client have considered. This is Our Client's response in accordance with the Practice Direction on Pre-Action Conduct. It is written openly save where expressly marked otherwise.

1. Our Client acknowledges that it supplied stainless steel bar to your client under the framework supply agreement and purchase orders identified in your letter. The quantities and diameters are not, at this stage, disputed.
2. Liability is, however, denied. Our Client does not accept that the bar it supplied failed to conform to specification. Our Client is a stockholder; the bar in question was sourced from a reputable EU mill and was supplied with EN 10204 type 3.1 mill test certificates which on their face certify the material as conforming 316L. Our Client was entitled to rely on those certificates and passed them to your client unaltered.
3. Our Client has not had the opportunity to inspect or test the bar or assemblies examined by Wraysbury Materials Laboratory, nor to review the full report (only an executive summary having been provided). Our Client does not admit the findings summarised in your letter and reserves its position pending inspection of the retained material and disclosure of the full report, the chain-of-custody records and your client's own goods-inwards inspection records.
4. Without prejudice to the denial of liability, Our Client will say that: (a) the alleged failures may be attributable to your client's machining, heat treatment, surface finishing or installation, and not to the composition of the bar; (b) your client failed to carry out any or any adequate goods-inwards inspection or positive material identification despite having the facility to do so; and (c) any loss is in any event too remote and/or has not been mitigated, in particular as regards the alleged loss of the Wexbourne contract.
5. Our Client's insurers have been notified. Their details will be provided once cover has been confirmed.
6. Our Client is, in principle, willing to participate in a without-prejudice meeting or mediation once the parties have exchanged the key technical documents, but does not

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consider it appropriate to do so before it has had a proper opportunity to investigate. We invite your client to make the retained bar and failed assemblies available for joint inspection.

We reserve Our Client's position generally and nothing in this letter is to be taken as an admission. We look forward to hearing from you.

Yours faithfully

Birchall Stone LLP

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